

WRITTEN QUESTIONS (Total: 100 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (25 marks – approximately 45 minutes)

Sam and Eric have been close friends for a number of years. Sam is a jewellery shop manager employed by a company incorporated in Hong Kong (the "Company"). Eric is a businessman.

Sam was duly authorised by the Company to negotiate the price with a potential buyer and sign an agreement on behalf of the Company.

Last Monday, Sam, on behalf of the Company, offered to sell to Judy a precious white diamond for HK\$3,000,000. Judy has been a long-time customer of the Company and told Sam that she needed some time to consider the offer. Sam replied to Judy that he would keep the offer open until Sunday.

On Wednesday, Sam told Eric that the precious white diamond offered to the Company's long-time customer for HK\$3,000,000 was a good deal. Sam said that he could make the same offer to Eric provided that Eric agreed to pay a secret commission of HK\$100,000 to Sam.

On Thursday, Eric accepted the offer. Sam signed an agreement as an agent for the Company with Eric, and sold the precious white diamond to Eric at the same price without informing Judy.

On Friday, during a party, Sam's colleague, Tom, told Judy about the sale of the precious white diamond.

Judy was very angry as Sam promised to keep the offer open until Sunday.

On Saturday, Judy sent out a letter to accept Sam's offer by post. The letter never reached Sam, as it was lost in transit.

The Company did not have any knowledge about the secret commission made by Eric to Sam. The Company would like to terminate Sam's employment after learning of the secret commission made by Eric to Sam and to report this matter to the law enforcement department.

Required:

- (a) Apply contract law and analyse whether there is a valid contract between the Company and Judy. (10 marks)
- (b) Apply anti-corruption laws and analyse what law(s) and provision(s) has/ have been violated by Sam. (5 marks)
- (c) Apply employment law (common law and statute) and analyse whether the Company can terminate its employment with Sam without notice with regard to Sam's conduct. (5 marks)
- (d) In relation to agency law, explain how agency can be created and analyse how agency is created in Sam's case. (5 marks)

Question 2 (25 marks – approximately 45 minutes)

Alvin, Beckham and Christopher were good friends, and a private company was incorporated by them in Hong Kong. The company adopted the Model Articles for Private Companies Limited by Shares as the articles.

It was agreed that Alvin, Beckham and Christopher shall participate in the management of the company. Alvin, Beckham and Christopher are the directors of the company and each owns 2,000 issued shares in the company. They each have a director's salary in the sum of HK\$50,000 per month. In addition, Alvin lent HK\$500,000 to the company as a shareholder's loan.

Recently, Alvin, Beckham and Christopher had strong arguments over the management of a company project. As a result, Alvin, Beckham and Christopher were engaged in a serious dispute. Beckham and Christopher decided that they were unable to work with Alvin. Alvin also requested repayment of the shareholder's loan while Beckham and Christopher refused to repay the loan to Alvin.

Alvin was removed from the directorship by Beckham and Christopher. Alvin would like to bring an action against Beckham and Christopher.

Required:

In relation to company and winding-up laws:

- (a) Analyse whether Alvin may apply for an unfair prejudicial remedy under the company law. (10 marks)

- (b) Explain the ground(s) for winding up a company by court and analyse whether Alvin may petition to wind up the company under the winding-up law. (15 marks)

Question 3 (10 marks – approximately 18 minutes)

Peter would like to recover a loan that he lent to Paul two years ago. However, Peter and Paul have a dispute over the balance of the loan.

Peter decides to bring legal action against Paul for recovery of the loan.

Required:

Analyse which tribunal or court is suitable to Peter's claim, and explain the jurisdiction of this tribunal or court and the appeal route available to him if he loses his case.

Note: You may make any assumption for the missing fact(s) of the question.

(10 marks)

Question 4 (10 marks – approximately 18 minutes)

Alan is a practising CPA and David is an ex-colleague of him. David is the sole shareholder and director of BLC Electronic Company Limited (the "Company"), a private limited company incorporated in Hong Kong. Alan is an auditor for the Company.

The Company was in need of cash and an application was made to a local bank (the "Bank") for a loan. The Bank required David to provide the Company's updated accounting report duly audited by a practising CPA.

David told Alan to prepare the accounting report (the "Report") a few months before the usual accounting period but did not tell Alan the purpose of the Report. In the course of auditing, Alan suspected that a large amount of doubtful debts of the Company may be irrecoverable. David requested Alan not to mention the doubtful debts in the Report. In order to maintain good relations, Alan did not mention this, and qualified the debts in the Report. David submitted a copy of the Report to the Bank to support the application. In reliance on the Report, the Bank granted the loan to the Company.

Eventually, the Company was unable to repay the loan due to the huge amount of irrecoverable debts. The Bank would like to sue Alan for negligent misstatement and for loss and damages suffered as the Report was an unqualified one.

Required:

In relation to tort of negligence:

- (a) Analyse whether Alan would be liable for negligent misstatement and whether Alan owes a duty of care to the Bank as an auditor.**

Note: You are not required to answer the statutory liability of auditors under the Companies Ordinance (Cap 622).

(5 marks)

- (b) Analyse whether Alan would be liable if the Report were prepared with the knowledge that the Bank would rely on the Report in determining the loan.**

(5 marks)

Question 5 (10 marks – approximately 18 minutes)

Mother Ltd is a private company limited by shares, which is incorporated in Hong Kong with a HK\$100,000,000 share capital. It is well established and known for Chinese food products. Son Ltd is a company incorporated in Hong Kong and wholly owned by Mother Ltd producing Korean food products under Mother Ltd's brand. Son Ltd is a private company limited by shares with a HK\$10,000 share capital. The board of directors of Mother Ltd and Son Ltd are the same.

Due to an error in the manufacturing process, the Korean food products of Son Ltd were infected with a bacteria. A customer bought the Korean food products of Son Ltd from a supermarket. The customer was diagnosed as suffering from acute abdominal pain and diarrhea as a result of eating the Korean food products of Son Ltd. A government laboratory later examined the Korean food products and determined that the products of Son Ltd contained a bacteria. There were many claims against Son Ltd. Son Ltd did not have sufficient resources to settle the claims and Mother Ltd refused to inject further capital into Son Ltd. Son Ltd became insolvent and went into liquidation.

The customer would like to sue both Mother Ltd and Son Ltd for damages as he knew that the board of directors between Mother Ltd and Son Ltd are identical.

Required:

In relation to company law:

- (a) Explain the principles of separate legal entity and limited liability.**

(5 marks)

- (b) Analyse whether Mother Ltd would be liable for the liability of Son Ltd by referring to the principles under Question 5(a).**

(5 marks)

Question 6 (10 marks – approximately 18 minutes)

Hong Kong Window Ltd ("Window Ltd") is a manufacturer for aluminium windows, a private limited company incorporated in Hong Kong. Hong Kong Aluminium Ltd ("Aluminium Ltd") is an aluminium materials supplier, a private limited company incorporated in Hong Kong and Window Ltd has been its customer for a while. It is the practice of Aluminium Ltd to include a retention of title and ownership clause in the contract for all credit sales.

Last month, Window Ltd entered into a sale of goods agreement with Aluminium Ltd to purchase HK\$10 million of aluminium materials. Under the agreement, Aluminium Ltd shall deliver the aluminium materials to Window Ltd within three months after the signing of the agreement. Window Ltd shall pay HK\$5 million on delivery of the aluminium materials and shall pay the balance of HK\$5 million after three months of delivery.

The agreement further provides the clause that the title and ownership of the aluminium materials remain vested in Aluminium Ltd until the purchase price is fully paid by Window Ltd and that Aluminium Ltd reserves the right to claim the unused aluminium materials of Aluminium Ltd if the purchase price is not fully paid by Window Ltd.

Recently, Window Ltd has become insolvent and has gone into liquidation. There is an outstanding payment of HK\$5 million to Aluminium Ltd. Aluminium Ltd would like to make a claim to the liquidator over the unused aluminium materials of Aluminium Ltd.

Required:

- (a) Analyse the validity of the retention of title and ownership clause under the sale of goods agreement between Aluminium Ltd and Window Ltd.
(5 marks)
- (b) Analyse whether Aluminium Ltd can enforce the retention of title and ownership clause under the sale of goods agreement against the liquidator over the unused aluminium materials of Aluminium Ltd.
(5 marks)

Question 7 (10 marks – approximately 18 minutes)

Benny and Calvin are members of a golf club. Benny is the director of a publicly listed company in Hong Kong. Calvin is also the director of another publicly listed company in Hong Kong. Both companies are listed on the Main Board of the Hong Kong Stock Exchange.

During the Christmas holiday, Benny and Calvin had a golf match at the golf club. They went to the clubhouse for drink after the match. They discussed the global business environment and the business plan for the next year. Calvin told Benny that it is Calvin's company's plan to take over Benny's company in the next six months and asked for Benny's opinion. Benny replied that it is a good idea.

After the drink, Benny informed his girlfriend Amy to buy a large number of his company's shares from the stock market and to sell them to the public after the announcement of the takeover made by Calvin's company. Amy made use of the information and gained a good profit for buying and selling shares of Benny's company.

Required:

In relation to the securities and futures law:

- (a) Analyse whether the information given by Benny to Amy and the securities dealings of Amy are governed by the securities and futures law. (5 marks)
- (b) Analyse whether any person(s) has/ have violated the securities and futures law for the securities dealings of Amy. (5 marks)

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